

Buy Local Bonds (BLB)

Case study brief · participant handout

Meridian Financial and Buy Local Bonds are fictional. They exist so the whole course can work one consistent scenario — strategy, business case, roles, stakeholders — instead of a new example every chapter. Any figures are illustrative.

THE COMPANY

Meridian Financial serves retail investors, with an institutional arm — Meridian Global Advisors — managing money for corporate and public retirement funds and non-US investors. It is growing partly by acquisition and wants to increase assets under management. Two things shape every project here: a Global Technology Board of CIOs and CTOs that pushes standardisation, and a Sarbanes-Oxley compliance committee that reviews all proposed projects before a charter is approved.

THE IDEA

Municipal bonds are loans to cities, counties, school districts, transit authorities and utilities — the money builds a school, a bridge, a water plant. The interest is usually exempt from federal income tax, and often state tax too if you live in the issuing state. But buying one is awkward: retail investors normally go through a broker or advisor, a single bond typically starts at \$5,000, and it is hard to find out which bonds fund which local projects.

Buy Local Bonds is a proposed self-service platform. A customer enters where they live and sees municipal bonds funding projects near them — their school district, their transit authority, their water utility — with what each bond pays for, its rating, yield and maturity, and buys directly. No broker, no phone call.

It comes straight from a stated Meridian strategy: *“Meridian Financial will implement a system to allow customers to purchase various types of bonds online without the aid of a broker or agent.”*

WHY MERIDIAN IS INTERESTED

- Reaches younger and first-time investors, who increasingly want to see where their money goes
- Grows assets under management and deepens relationships with existing customers
- Differentiates Meridian from firms that only offer pooled bond funds
- Positions Meridian publicly as an investor in local communities

WHAT IS KNOWN — AND WHAT IS NOT

Customers	Existing Meridian retail customers first; new customers later
Platform	Must work on a phone as well as a desktop
Regulation	Selling bonds carries disclosure, suitability and record-keeping obligations
Dependencies	Third-party market data for bond pricing and availability
Still open	No budget approved — that is what the business case is for Launch date, minimum purchase size, and whether Meridian holds bond inventory itself

The gaps above are deliberate. Real projects start this vague — deciding what you would need to find out, and who you would have to ask, is the exercise.